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Morning Note
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Tone: Risk-On / Relief

The Iran story reverses hard. After 13 consecutive nights of US-Iran strikes, both sides paused fighting over the weekend to give diplomacy "space," and oil is unwinding nearly all of last week's spike: Brent fell as much as 6% intraday to around $90.88 before closing down 8.7% at $88.36, with WTI closing down 7.5% at $82.61 — a sharp reversal from levels above $100-102 just days ago. Treasury yields are following oil lower, with the 10-year down 1-4bp to 4.64%, though still within 10bp of Friday's peak, the highest level since January 2025. Asia and Europe are broadly rallying on relief (Nikkei +0.5%, Kospi +0.97%, DAX +1.04%), and US futures point higher after Friday's mixed, volatile close. The catch: Wednesday's FOMC decision is still very much live, with markets pricing roughly a 1-in-3 chance of a hike — this pause buys the Fed some breathing room, but doesn't resolve the underlying inflation risk the oil spike created.

OVERNIGHT MACRO

- **Asia:** Nikkei +0.5% to 64,931.19, Topix +1.37% to 4,066.07, Kospi +0.97% to 6,755.75, ASX 200 +1.39% to 8,894, CSI 300 +1.15% to 4,702.43, Hang Seng +1%+ — a broad relief rally on hopes of an Iran fighting pause.
- **Europe:** Stoxx 600 +0.2% to 645.6, DAX +1.04% to 25,361.03, CAC 40 +0.40% to 8,406.06, FTSE 100 +0.42% to 10,781.75.
- **FX:** Dollar slumped against European peers as the Iran pause reduced safe-haven demand.
- **U.S. Futures:** Pointing higher after Friday's mixed, volatile close (Dow +0.46% to 51,947.25, S&P 500 +0.05% to 7,411.98, Nasdaq -0.64% to 24,975.82).

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.31%	Lower	Easing alongside the curve as Iran de-escalation reduces near-term inflation risk.
10Y Treasury	4.64%	-1 to -4bp	Still within 10bp of Friday's peak — the highest level since January 2025.
30Y Treasury	~5.16%	Little changed	Off its 2026 high but still historically elevated.

Yields are giving back a small piece of last week's oil-driven surge, but the move is modest relative to how far the curve ran — this looks like markets pausing, not reversing, ahead of Wednesday.

Meeting	Current Range	Market-Implied	Note
FOMC, Jul 28-29 (decision Wed, 2pm ET)	3.50-3.75%	~67% hold / ~33% hike	Odds have eased from last week's highs but a hike is still very much in play.

Credit: IG OAS near 80bps, HY OAS near 275-280bps — both little changed. Credit continues to shrug off a month of oil and rates volatility.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$88.36/bbl	-8.7%	Sharp reversal after the Iran fighting pause
WTI Crude	$82.61/bbl	-7.5%	Tracking Brent lower
Gold	~$4,050/oz	Little changed	Holding steady through the de-escalation
Copper	~$6.30/lb	Little changed	Steadying after last week's volatility

Commodity	Level	Chg	Note
Nat Gas	Roughly flat	Little changed	Tracking the broader energy pullback

Energy stocks led Monday's losses as oil tumbled, while the broader tape caught a relief bid on the Iran pause.

Sector / Name	Chg	Read
Energy (Chevron, Exxon, ConocoPhillips)	-2.5% to -3.2%	Tracking oil's plunge
European Energy (TotalEnergies, BP, Shell)	-1.5% to -4.5%	Same story, sharper moves
Real Estate / Rate-sensitives	Outperforming	Benefiting from easing yields

EVENTS TO WATCH

- **FOMC meeting, July 28-29** — decision Wednesday 2pm ET + Warsh presser 2:30pm; ~33% hike odds is the closest call in months.
- **Iran-US ceasefire durability** — the pause is holding for now, but any breakdown would instantly reprice oil and yields.
- **Semiconductor sector** — AI-capex jitters resurfacing (SMH -2%+, AMD -5%, Teradyne -4% Monday) — watch for continuation.
- **Core PCE and Q2 GDP (second estimate)** — due this week, key inputs into the Fed's Wednesday decision.
- **Peak Q2 earnings continues** — several large-cap names report this week around the Fed decision.